

Calendar line 1

Case Name: IN THE MATTER OF THE KAIS BYPASS TRUST, established under the KAIS FAMILY TRUST dated March 2, 1994

Case No.: 25PR200331

INTRODUCTION

Petitioner Deborah Settlemeyer initiated this case by filing a petition to remove Maria Kais (“Maria”) as trustee of the Kais Bypass Trust, which was created under the terms of the Kais Family Trust dated March 2, 1994.¹ After multiple amendments, the currently operative version of the petition is the third amended petition (“TAP”), filed May 18, 2026, which is brought by both Ms. Settlemeyer and Samuel Kais, Jr. (“Sam, Jr.”) In its current iteration, the TAP alleges that Maria and Samuel Kais, Sr. executed the Kais Family Trust and, upon Samuel Kais, Sr.’s death, the Bypass Trust was created. In 2025, Maria, then 90 years of age and in a state of cognitive decline, transferred a Bypass Trust asset, real property near Lake Tahoe (“the Lake Tahoe Property”), to Thomas Kais (“Tom”) and his girlfriend for well below market value, ostensibly due to lack her lack of liquidity. The TAP specifically alleges that the settlors had intended to keep the Lake Tahoe Property in the family and that Maria signed a power of attorney in favor of Samuel Kais, Jr. (“Sam, Jr.”), giving him the authority to act to preserve the Lake Tahoe Property. (TAP, ¶ 8.) The TAP asserts that the power of attorney was irrevocable because it was coupled with an interest, namely a home equity line of credit (“HELOC”) in the amount of \$1,000,000, which Sam, Jr. and his wife, non-party Elizabeth Kais (“Elizabeth”) signed as co-obligors at Maria’s request. (*Ibid.*) The HELOC is secured by another real property, also used to fund the Bypass Trust (“the San Jose Property”). (*Ibid.*)

In her opposition to the second amended petition,² Maria asserted that she decided to sell the Lake Tahoe Property due to lack of liquidity and the financial strain of the HELOC on the San Jose Property. (Opposition to Second Amended Petition, filed March 27, 2026, ¶ 5.)

Currently before the court are a competing motion to compel and motion to quash both related to a subpoena served by Tom directed to JPMorgan Chase Bank, N.A. (“Chase”) seeking records relating to the HELOC. Tom has filed the motion to compel because non-party Elizabeth served an objection to the subpoena. Sam, Jr. has opposed the motion to compel and Tom has filed a reply. Sam, Jr. filed the motion to quash, which Tom has opposed and Sam, Jr. has filed a reply.

DISCUSSION

Because the motions to compel and quash concern the same subpoena and the same privacy and relevance concerns, the court will discuss them together.

I. Legal Standard

¹ Because several of the individuals involved in this case share the same last name, the court will refer to them by their first names. No disrespect is intended.

² The TAP is currently unopposed.

The court may, “upon motion reasonably made by a [party] ... make an order quashing [a] subpoena entirely, modifying it, or directing compliance with it upon those terms or conditions as the court shall declare, including protective orders.” (Code Civ. Proc., § 1987.1, subds. (a) & (b)(1).) In addition, the court may make “any other order as may be appropriate to protect the [moving party] from unreasonable or oppressive demands,” including unreasonable violations of his or her right to privacy. (Code Civ. Proc., § 1987.1, subd. (a).) The objecting party generally bears the burden of justifying any objections to the subpoena. (See *Kirkland v. Superior Court* (2002) 95 Cal.App.4th 92, 98; *Coy v. Superior Court of Contra Costa County* (1962) 58 Cal.2d 210, 220; *Fairmont Ins. Co. v. Super. Ct.* (2000) 22 Cal. 4th 245, 255.)

II. Merits of the Motions

As noted above, the subject of both motions is a subpoena served by Tom on Chase seeking the entire file related to the HELOC.³ Both Elizabeth and Sam, Jr. are named on the HELOC account. Elizabeth’s objection to the subpoena and Sam, Jr.’s motion to quash and opposition to the motion to compel raise issues of privacy and relevance.

The subpoena seeks: “The complete account file maintained by JPMorgan Chase Bank for Home Equity Line of Credit account no. 5264, held jointly in the names of Elizabeth Alice Kais and Maria Deberry Kais, and secured by the property located at 1745 Patio Drive, San Jose, California, for the period November 1, 2023 through April 30, 2024, including account statements, transaction histories, records of advances and draws, disbursements, payments, payoff information, and documents reflecting authorized signers or powers of attorney for the account. This request does not seek records of any other financial account.” (Declaration of Jeremy A. Burns in Support of Motion to Compel, Ex. 1.)

The law is well established that the right to privacy extends to a person’s financial affairs. (*Moskowitz v. Superior Court* (1982) 137 Cal.App.3d 313, 315 [“Personal financial information comes within the zone of privacy protected by article I, section 1 of the California Constitution.”]; *Fortunato v. Superior Court* (2003) 114 Cal.App.4th 475, 481 [stating, “there is a right to privacy in confidential customer information whatever form it takes, whether that form be tax returns, checks, statements, or other account information”]; see also *Valley Bank of Nevada v. Sup. Ct.* (1975) 15 Cal.3d 652, 658.)

Where the right to privacy is asserted in the discovery context, the items sought must be “directly relevant” and “essential to the fair resolution” of the lawsuit. (*Alch v. Superior Court* (2008) 165 Cal.App.4th 1412, 1425.) To establish direct relevance, “[i]t is not enough that the information might lead to relevant evidence,” which could be sufficient to establish general relevance for discovery purposes absent a privacy objection. (*Binder v. Superior Court* (1987) 196 Cal.App.3d 893, 901.) “Mere speculation as to the possibility that some portion of the records might be relevant to some substantive issue does not suffice.” (*Davis v. Superior Court*

³ The court notes that Tom served four separate subpoenas on Chase for similar information. According to the parties, no consumer notice was served on Sam, Jr. in connection with the first three subpoenas and those subpoenas were ultimately withdrawn. Only the fourth subpoena remains at issue. In the motion to compel, Tom appears to occasionally mistakenly refer to the fourth, operative, subpoena as the second subpoena.

(1992) 7 Cal.App.4th 1008, 1017.) Furthermore, discovery will not be ordered if the information sought is available from other sources or through less intrusive means. (*Allen v. Super. Ct.* (1984) 151 Cal.App.3d 447, 449.)

In *Hill v. National Collegiate Athletic Assn.* (1994) 7 Cal.4th 1, the California Supreme Court announced a test for evaluating privacy concerns. “The party asserting a privacy right must establish a legally protected privacy interest, an objectively reasonable expectation of privacy in the given circumstances, and a threatened intrusion that is serious. [Citation.] The party seeking information may raise in response whatever legitimate and important countervailing interests disclosure serves, while the party seeking protection may identify feasible alternatives that serve the same interests or protective measures that would diminish the loss of privacy. A court must then balance these competing considerations. [Citation.]” (*Williams v. Super. Ct.* (2017) 3 Cal.5th 531, 552.)

Here, Tom contends that the HELOC file is directly relevant because Sam, Jr. has asserted that the HELOC would be used to provide liquidity to Maria to allow her to retain the Lake Tahoe Property. Sam, Jr. and Elizabeth contend that the HELOC file is not relevant because it is secured by the San Jose Property and not the Lake Tahoe Property, which is at issue in this case. They further maintain that the HELOC file does not directly relate to any claims made against Tom. It appears to the court that how the HELOC funds were to be used, the stated justification for obtaining the HELOC, and what was sufficient to provide the necessary liquidity to Maria are essential questions to the fair resolution of this litigation. As noted above, Maria contends that the HELOC itself was what caused her to need to sell the Lake Tahoe Property. Sam, Jr. has argued in the TAP that the HELOC was taken out specifically to provide liquidity to Maria and that it causes the power of attorney in his favor to be irrevocable. Under these circumstances, the court finds that the HELOC file is directly relevant.

Sam Jr. and Elizabeth also contend that there are specific privacy concerns in this case due to the alleged fraud perpetrated by Tom in connection with the sale of the Lake Tahoe Property. They assert that the HELOC documents include social security numbers, bank account numbers related to accounts other than the HELOC, credit ratings, employment information, and other sensitive information from which one could accomplish financial crimes. The court finds that these issues can be addressed via a protective order with an attorneys’ eyes only provision.

Sam, Jr. asserts that Tom and his counsel have made certain admissions that render production of the HELOC file unnecessary. First, he contends that the “foundational facts about the HELOC (its existence, lender, credit limit, co-borrowers, or general purpose)” are already in the record and that Tom “admitted those facts in his pleading” in this matter. (Opposition to Motion to Compel, p. 14:14-17.) He does not cite any portion of the record where these facts appear or the specific portion of Tom’s pleadings wherein this admission was made. (See *Quantum Cooking Concepts, Inc. v. LV Assocs., Inc.* (2011) 197 Cal.App.4th 927, 934 [stating that the trial court is not required to “comb the record and the law for factual and legal support that a party has failed to identify or provide”].) In any event, Tom is seeking information regarding withdrawals or disbursements from the HELOC, which would not be included in the above description.

Sam, Jr. has also filed unauthorized supplemental reply documents in which he argues that Tom's counsel admits that the HELOC information is not relevant. In the email, counsel describes his view that Sam, Jr. paints himself as a hero by arguing that he co-signed on the HELOC to provide Maria with liquidity and allow her to keep the Lake Tahoe Property. He indicates that this may not be a correct view and he questions whether Sam, Jr. is "telling the full story" in his petition. Sam, Jr. argues that this indicates that counsel is engaging in a fishing expedition and attempting to "gain insight into facts he does not already know and suspects the records might reveal." He asserts that this establishes that Tom does not have good cause for the discovery. Sam, Jr. seeks to impose too high of a bar for discovery when a good cause showing is necessary. Case law indicates that good cause consists of relevance to the subject matter and specific facts justifying the discovery. (See *Glenfed Develop. Corp. v. Superior Court* (1997) 53 Cal.App.4th 1113, 1117.) Here, the court has concluded that the HELOC file is relevant. Discovery is justified because it is particularly in the hands of one party, namely, Sam, Jr. and unavailable to Tom. Accordingly, the court rejects this argument.

The motion to compel is GRANTED. The parties are ordered to provide the court a protective order with an attorneys' eyes only provision within 10 days. If the parties cannot agree on the protective order, Tom shall submit a proposed order within 10 days with the objections of the opposing party. No documents shall be produced until the protective order has been entered. Once the protective order has been signed by the court, the documents shall be produced to Tom's counsel within 30 days.

Tom requests sanctions against Elizabeth in connection with the motion to compel in the amount of \$4,500. The request for sanctions is DENIED. The court finds that Elizabeth acted with substantial justification in objecting based on the right to privacy. Accordingly, the court declines to award sanctions. (Code Civ. Proc., § 1987.2, subd. (a) ["in making an order pursuant to motion made under subdivision (c) of Section 1987 or under Section 1987.1, the court may in its discretion award the amount of the reasonable expenses incurred in making or opposing the motion, including reasonable attorney's fees, if the court finds the motion was made or opposed in bad faith or without substantial justification or that one or more of the requirements of the subpoena was oppressive"].)

The motion to quash is DENIED.

CONCLUSION

The motion to compel is GRANTED. The parties are ordered to submit a protective order with an attorneys' eyes only provision to the court for signature within 10 days. If the parties cannot agree on a protective order, Tom shall submit a proposed order with the objections within 10 days. No documents shall be produced until the protective order has been entered. Once the protective order has been signed by the court, the documents shall be produced to Tom's counsel within 30 days. Tom's request for sanctions is DENIED.

The motion to quash is DENIED. Sam, Jr.'s request for sanctions is DENIED as he was not the prevailing party on the motion to quash.

IT IS SO ORDERED.